

COURSE TITLE	FINANCIAL ACCOUNTING I
DURATION	3HRS
TYPE OF EXAMINATION	WRITTEN EXAM
LECTURER	Dr. Ayankeng Godlove N.

Instruction:

Answer Question ONE and Three Other Questions

Question ONE carry 10 Marks and other Questions carry 20 Marks Each

Question one: Tick the right responses

- I. Which of the following financial statements do not primarily shows the financial position of a business at a specific point in time?
 - a. Income Statement
 - b. Statement of Cash Flows
 - c. Statement of Retained Earnings
 - d. Statement of Financial Position (Balance Sheet)
 - II. The primary purpose of double-entry bookkeeping is to:
 - a. Track cash flow in and out of the business
 - b. Ensure all financial transactions are recorded accurately
 - c. Simplify the accounting process
 - d. Calculate taxes owed to the government
 - III. The fundamental accounting equation is:
 - A) Assets = Expenses + Income
 - B) Assets = Cash + Equity
 - ☒ C) Assets = Equity + Liabilities
 - D) Assets = Expenses + Equity
 - IV. According to the double entry system of accounting, an account that obtains benefit is:
 - A) Credit
 - ☒ B) Debit
 - C) Income
 - D) No need to show as accounting record
 - V. When a Liability is reduced or decreased, it is recorded on the:
 - A) Left or credit side of the account
 - B) Right or debit side of the account
 - C) Right or credit side of the account
 - ☒ D) Left or debit side of the account
 - VI. The following examples of intangible assets?
 - A) Franchise rights
 - ☒ B) Goodwill
 - C) Patents
 - D) Land
- A) The debit and credit rule for Personal accounts is

- ☒ A) Credit the receiver and Debit the giver
☐ B) Debit the receiver and credit the giver
☐ C) Debit what comes in and credit what goes out
☐ D) credit the giver\

VII. How is the double-entry bookkeeping principle a principle for understanding reality? 5) Why does accounting practice rely on supporting documentation in the analysis of financial information?

III. What are the main categories of liabilities and assets on the balance sheet, along with their classes?

IX. Determine the values of A, B, C and D

AC /n	Element	Opening Balances		Movements		Closing Balances	
		Dr.	Cr.	Dr.	Cr.	Dr.	Cr.
10	Capital		A 41 000 000		7,900,000		1200000 0
244	Office equipment			71,850,000	7,000,000	B	
246	Transport equipment	10 000 000	C			10,000,000	
261	Investments in companies			4,000,000		4,000,000	
311	Stock of goods	3,148,00		D		1,831,000	

Question Two: Concepts and Establish the Balance Sheet(30 Marks)

Enterprise John and Sons Enterprise presented the following balance sheet information.

- Share Capital	10 800 000
- long term loan	6 750 000
- Agricultural land	7 000 000
- Other agricultural land	8 000 000
- Administrative Building	30 000 000
- Office Equipment	15 500 000
- Automobile equipment	5 000 000
- Legal Reserves	8 015 000
- Stocks of goods A	10 500 000
- Stocks of goods B	4 000 000
- Supplier Amin	13 000 000
- Supplier Damina	975 000
- Customer Lisa	252 000
- Customer Daniel	12 000 000
- Customer Advances	400 000
- Taxes owed	7 121 000
- Customer Julius	855 000
- Bank Overdraft	1 364 000
- Afriland Bank	6 415 000
- Poster cheque	1 000 000
- Cash at Hand	1 500 000

Work required

- Define the types of balance sheets and Explain the process of recording elements in the balance sheet
- List any five (5) accounting principles.
- Establish the balance sheet

- d) Examine the result in (b) above
- e) Comment on this type of balance sheet
- f) Calculate the net situation of the enterprise

Question three: Balance Sheets and Journal

Mani ltd Enterprise is an enterprise specialized in the purchase and sales of a highly consumable product goods and has provided the following information on the 1st March 2022.

Elements of the opening balance sheet in FCFA

Elements	Amounts(CFA)
Agricultural Land	3,600,000
Industrial Building	2,000,000
Share capital	10,000,000
Customer Rosa	3,000,000
Suppliers Chief	800,000
Stocks of Goods	300,000
Cash	800,000
Bank Overdraft	1000,000
Bank Loan	400,000

During the month of March 2022 the enterprise carried out the following transactions

03/03/2022: Cash purchases of goods from Supplier Chief 260000FCFA

05/03/2022: Sales of goods to Customer Rosa worth 325000 FCFA by bank cheque

07/03/2022: Cash sales of goods worth 6000000 FCFA to customer ATATU

08/03/2022: Purchases of goods using bank cheques worth 450000FCFA from supplier Chief

09/03/2022: Cash payment of electricity and water bills at 125000 FCFA and 68000FCFA respectively.

10/03/2022: Payment of salaries using a bank cheque 500000 FCFA

Work required:

- a) Establish the opening balance sheet of Mani ltd (8 Marks)
- b) Proceed to the journal entries and consider a value added tax of 19.25% for sales and purchases (7 Marks)

Exercise four: Enterprise and the Cash Book

BLACKROCK Enterprise is specialized in the purchase and sales of goods. It provided the following information on the 1st of January 2023.

During the month of January 2023 the enterprise carried out the following transactions

01/01/2024 Initial cash in hand 500,000 FCFA

02/01/2024: Additional Cash 1000,000 FCFA

03/01/2024: Purchases of goods by cash from DUBILA 800,000 FCFA

05/01/2024: Sales of goods by cash to customer SUSAN worth 700,000 FCFA

04/01/2024: Received cash from Customer Susan worth 500,000 FCFA

07/01/2024: Customer SUZAN settled by bank cheque worth 250,000 FCFA

09/01/2024: Payment of electricity and water bills by cash at 125000 FCFA and 68000FCFA respectively.

15/01/2024: Payment of salaries by cash at 50,000 FCFA.

25/01/2024: Sales of goods on credit to customer SUSAN worth 700,000 FCFA

28/01/2024: Purchases of goods by cash 400000FCFA from supplier DUBILA

Work required:

1. Record the following transactions into the cash book
2. Establish the cash account.
3. What is the net cash and total expense of the period?

Question five: John and Sons Enterprise recorded the following operations in the same month.

03/01/2024: Purchases of goods by bank cheque from DUBILA 850,000 FCFA

05/01/2024: Sales of goods by cash to customer SUSAN worth 720,000 FCFA

04/01/2024: Received cash from Customer Susan worth 80,000 FCFA

07/01/2024: Customer Landry settled by bank cheque worth 250,000 FCFA

09/01/2018: Payment of electricity and water bills by bank cheque at 125000 FCFA and 68000FCFA respectively.

13/01/2024: Purchases of goods by cash from DUBILA 600,000 FCFA

15/01/2024: Sales of goods by cash to customer SUSAN worth 800,000 FCFA

24/01/2024: Received cash from Customer Susan worth 300,000 FCFA

27/01/2024: Customer SUZAN settled by bank cheque worth 250,000 FCFA

29/01/2024: Payment of electricity and water bills by cash at 125000 FCFA and 68000FCFA respectively.

Work required:

1. Represent the transactions above in a flow diagram.
2. Register the transitions in a double column cash book

Good luck